

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.,
COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

**CMI DISTRIBUTION INC.'S RESPONSES TO RESPONDENTS SERVICE BY AIR,
INC. AND RADIANT CUSTOMS SERVICES INC. FINDINGS OF FACT**

1) SBA, located in Bensenville, Illinois, operates primarily as an indirect air carrier and surface third-party logistics provider. It was never licensed for, and has never participated in, NVOCC activities or outbound ocean transportation. SBA's wholly-owned subsidiary, SBA Consolidators, operates as a customs brokerage and freight terminal operator. In or about June 2015, non-party Radiant Global Logistics, Inc. acquired SBA, and by extension, SBA Consolidators. SBA still exists as a separate corporate entity wholly owned by Radiant Global Logistics, Inc.¹

RESPONSE: DENIED. To the extent that SBA asserts that it never participated in NVOCC activities or outbound ocean transportation. SBA admitted that it is a full-service logistics provider that provides both air and ocean service. CMI SoF 6; See *also* SBA Terms and Conditions 16(C), Supplemental Exh. 1, which provides that if all or any part of the shipment that is tendered to SBA is carried by

¹ Declaration of Edward A. Zasada ("Zasada Declaration").

water over any part of said route, such water carriage shall be performed subject to COGSA and any other pertinent laws applicable to water carriers.

2) Respondent LAS Freight Systems, Inc. (“LAS Freight”), a China company, operates as an ocean freight forwarder as provided by China law, which is comparable to an NVOCC under the U.S. system.² It is FMC-licensed as an NVOCC.

RESPONSE: ADMITTED.

3) Complainant CMI Distribution, Inc. (“CMI”) is one of several commonly owned and operated companies that operates as an importer of plastic bags and similar products. CMI is sophisticated in transportation, as it imports “50, 60 percent” of the product it sells.³

RESPONSE: DENIED. In deposition testimony, SBA asserted that it made false representations regarding its communications with steamship lines because CMI was an unsophisticated customer and it did not want to “confuse” CMI by telling it that other NVOCCs were actually transporting cargo and it wanted to keep things “simple” for CMI. CMI SoF ¶ 139; Deposition of Bryan Tincher (“Tincher Dep.”) at 154:19-22; Deposition of Ed Zasada (“Zasada Dep.”) at 25:18-26:9 (“People with the boats”) and 42:18-43:19.

4) CMI is sophisticated in the transportation process. It has a history of operating with logistic service providers to bring cargo into the United States.⁴

RESPONSE: DENIED. See response to paragraph 3.

² http://www.hktdc.com/sourcing/hk_company_directory.htm?companyid=1X02808S&locale=en.

³ Transcript of Deposition of CMI’s FRCP 30(b)(6) Designee Maria T. Vega (“Vega Deposition”) at 23-24.

⁴ Vega Deposition at 29.

5) CMI's sister company, CMI Transportation, operates as a surface freight forwarder that provides logistics services.⁵

RESPONSE: ADMITTED.

6) In or about early 2014, CMI contacted SBA requesting that SBA arrange importation from China into the U.S. of approximately 80 containers of cargoes consisting primarily of slider plastic bags.⁶

RESPONSE: DENIED. CMI retained SBA to provide transportation services not to arrange for transportation. CMI SoF ¶ 1. The primary contact person between SBA and CMI for SBA was Bryan Tincher. Tincher Dep. at 53:22-54:3. Mr. Tincher testified under oath that SBA assumed responsibility for the delivery of CMI's cargo. Tincher Dep. at 31:15-21; 33:18-22. This responsibility continued until the cargo was delivered to the ultimate destination. *Id.* at 35:7-10. *See* CMI SoF ¶ 31. SBA also issued bills of lading, which is consistent with providing transportation. In addition, CMI retained SBA to provide transportation services for approximately 60 containers not 80. CMI SoF ¶ 1.

7) CMI requested from SBA ocean transportation, port-to-door service, and customs clearance.⁷

RESPONSE: ADMITTED.

8) SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued house through bills of lading from China to SBA's facility in Bensenville for

⁵ *Id.* at 17-19.

⁶ *Id.* at 90.

⁷ *Id.* at 40 and Zasada Declaration.

the transports at issue for the vast majority of the shipments.⁸ LAS engaged other Chinese NVOCCs⁹ for several of the shipments, and those other Chinese NVOCCs issued through house bills of lading for the shipments they administered.¹⁰ None of these house bills of lading named SBA as a shipper of record.

RESPONSE: DENIED. SBA was listed as the consignee on these house bills of lading and therefore, was a “shipper” as defined by the Shipping Act. *See* 46 USC 40102(22)(B)(E). Further, LAS Freight did not merely “arrange” the shipments at issue as reflected in the fact that it issued bills of lading.

9) SBA engaged LAS Freight to arrange the subject ocean transports from China. LAS Freight issued house through bills of lading from China to SBA’s facility in Bensenville for the transports at issue for the vast majority of the shipments.¹¹ LAS engaged other Chinese NVOCCs¹² for several of the shipments, and those other Chinese NVOCCs issued through house bills of lading for the shipments they administered.¹³ None of these house bills of lading named SBA as a shipper of record.

RESPONSE: DENIED. Duplicative to paragraph 8. *See* response to paragraph 8.

⁸ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

⁹ These are “U.S. United Logistics (NINGNO) Co.,” “Ocean Star Transport Int’l, Ltd.,” “Ever Since Group Co., Ltd.,” “Acme Freight Services Corp.,” “Anchor Logistics,” and “Global Links Express, Inc.” While LAS Freight is an FMC-licensed NVOCC, these other Chinese transportation service providers apparently are not, and therefore technically are not “NVOCCs,” as China does not use that moniker. For ease of reference, they are referred to as “Chinese NVOCCs” herein.

¹⁰ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

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¹³ Zasada Declaration and copies of bills of lading attached as Exhibit 1 thereto.

10) LAS Freight and the other Chinese NVOCCs did not issue original bills of lading, thereby protecting the Chinese shippers from CMI obtaining the cargo until the shippers authorized issuance of “telex releases.” Thus, unless and until CMI paid invoice costs to its Chinese suppliers, LAS Freight and the other Chinese NVOCCs would not issue telex releases, and transportation service providers down the chain were precluded from releasing the cargo to CMI.¹⁴

RESPONSE: DENIED. CMI is prejudiced in determining what exact actions Las Freight took due to SBA falsely informing its partner, LAS Freight, that this case had settled. CMI SoF ¶ 67; Tincher Dep. at 145:1-12.

11) The ocean transports landed in various west coast ports, and were transported by rail to inland destinations, mostly Chicago. SBA Consolidators processed customs clearance, which is the only role it played in the entire series of transactions at issue.¹⁵

RESPONSE: ADMITTED.

12) SBA engaged motor carrier Freight Tech to dray most of the cargo from the inland rail yards to Freight Tech’s yard in Naperville, Illinois, where it would await further delivery instructions. SBA was never in physical possession of the cargo. CMI’s China-based suppliers instructed LAS Freight, which in turn instructed SBA, not to release the cargo to CMI unless and until confirmation was received that CMI had paid the suppliers under the commercial invoices for CMI’s purchase of the cargo. This would be accomplished by telex releases.¹⁶

RESPONSE: DENIED. Most of the payments at issue were not the result of CMI failing to pay the supplier. For some containers, even though the supplier had been paid and the containers were ready for release, and even though there were no

¹⁴ Zasada Declaration.

¹⁵ *Id.*

¹⁶ *Id.*

charges associated with those containers, SBA refused to release them until it was paid demurrage charges on other unrelated shipments, which disproves SBA's statement that the cargo was not in its possession. CMI SoF ¶ 140; Tincher Dep. at 112:1-113:3.

13) CMI does not know what an NVOCC is.¹⁷ It does not “know the difference between the services that an NVOCC provides as compared to an ocean freight forwarder.”¹⁸

RESPONSE: ADMITTED. To the extent that CMI is an unsophisticated shipper that did not understand the legal nuances of what constituted an NVOCC. *See* CMI SoF ¶ 139. However, CMI clearly understood that SBA was assuming responsibility for the shipments. CMI SoF ¶ 31; Tincher Dep. at 31:15-21; 33:18-22; Vega Dep. at 51:22-52:13; *see also* Gallo Dec. at ¶¶ 5-6, Supp. Exh. 4.

14) CMI does not know whether “SBA agreed to provide CMI NVOCC services,” or whether “an ocean freight forwarder could have issued a bill of lading with regard to the shipments at issue in the lawsuit.”¹⁹

RESPONSE: DENIED. Mischaracterizes testimony. Ms. Vega states in her deposition that she does not know what Mike Gallo, CMI President, specifically contracted with SBA. However, Ms. Vega testifies that CMI understood that SBA was taking responsibility for the shipments. *See* Maria T. Vega Deposition at 51:12-52:12. In addition, Ms. Vega testified, and the evidence shows that SBA represented that it would be providing the same services as UTI, an NVOCC. Vega

¹⁷ Vega Deposition at 28 and 51.

¹⁸ *Id.* at 54 and 113-14.

¹⁹ *Id.* at 115.

Dep. at 113:22-114:4; Tincher Dep. at 67:8-11, 67:23-68:8; *see also* Gallo Dec. at ¶¶ 5-6. Supp. Exh. 4.

15) Before beginning its relationship with SBA, CMI researched “SBA’s services and its capacities, its history, its licensing.”²⁰ It also reviewed SBA’s Terms and Conditions,²¹ a copy of which it produced to respondents in discovery.²² Those Terms and Conditions provide that SBA is:

... a domestic (U.S.) and international air freight forwarder providing services as an indirect air carrier, including the issuance of house air waybills for individual shipments, assembly, consolidation and arrangement of transportation of goods via direct air carriers, pursuant to exemptions at 49 U.S.C. §§ 13531 and 13506(8). Service By Air, Inc. is also duly registered as a surface freight forwarder with the Federal Motor Carrier Safety Administration under Docket No. FF-005392 to provide ground transportation services via motor carriers selected by Service By Air, Inc.

RESPONSE: DENIED. Mischaracterizes testimony. In deposition testimony, CMI did not confirm that it reviewed “SBA’s services and its capacities, its history, its licensing.” Rather, in the deposition testimony, Ms. Vega states that she believes that Mike Gallo may have reviewed that information but is not certain. *See* Vega Dep. at 37:19-38:3, 64:1-18.

16) SBA did not issue any bills of lading to CMI for the subject transports.²³

RESPONSE: DENIED. SBA issued air waybills to CMI for the shipments at issue. SBA’s Terms and Conditions define air waybills as bills of lading. *See* SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state “[w]aybills” means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or

²⁰ *Id.* at 37.

²¹ *Id.* at 39 and 64.

²² Copy attached as Exhibit 2 to the Declaration of Steven W. Block (“Block Declaration”).

²³ Declaration of Justin M. Jalowiecki (“Jalowiecki Declaration”).

similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added)”; *see also* Exh. A-4. Moreover, CMI kept these air waybills as evidence of contracts of carriage with SBA and to confirm receipt of the purchase order. *See* Vega deposition at 168:21-169:14.

17) CMI produced in discovery four SBA “air waybill” forms, two of which are wholly illegible. With the CMI Brief, CMI produced an additional 45 “air waybill” forms, for a total of 49. Also in discovery, CMI produced house ocean bills of lading issued by Chinese NVOCCs for the subject shipments, each accompanied by CBP Forms 7501 pertinent to each entry.²⁴ The Chinese house bills of lading do not identify SBA as a shipper of record.

RESPONSE: ADMITTED. CMI only recently discovered the additional 45 air waybills issued by SBA. Despite request for production of said documents by SBA, SBA failed to produce such documents in discovery.

18) Thus, CMI claims it has two bills of lading for each shipment: the first, an ocean bill of lading issued by a Chinese NVOCC which properly documents the shipment, and was used for customs clearance; and the second, an unsigned SBA “air waybill” form, denied by CMI’s own employee, Justin M. Jalowiecki, as a functional bill of lading²⁵ and which CMI’s 30(b)(6) Designee confirms CMI requested and used for accounting purposes only.²⁶

RESPONSE: DENIED. SBA’s bills of lading were functional in that they acted as receipt for cargo, documented transportation of CMI’s cargo and were evidence of a contract of carriage. Vega Dep. at 167:9-15, 168:21-169:5. Moreover, in addition to the air waybill and bill of lading issued by a Chinese NVOCC, CMI has

²⁴ Copies attached as Exhibit 3 to the Block Declaration.

²⁵ Jalowiecki Declaration.

²⁶ Citations in paragraph 18 and 19 below.

house bills of lading provided by SBA in discovery that list SBA as the consignee. See Exh. 2. Further, as indicated in SBA's terms and conditions an air waybill is a bill of lading. See SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state "[w]aybills" means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added)."

19) CMI does not know when it received the documents marked "air waybill."²⁷ However, "[i]t took [CMI] some time to get them after the transportation was completed..." i.e., "after the container had been in [its] possession for a while."²⁸ Regarding the Chinese NVOCC house bills of lading it received for about half of the shipments, CMI "didn't read most of them in detail,"²⁹ and claims it does not know what entity issued them, even though "LAS Freight" appears on most.³⁰

RESPONSE: ADMITTED.

20) CMI requested from SBA "backup" documentation for each shipment, and in response, received the "air waybill" forms by email from SBA employee Bryan Tincher ("Tincher").³¹ CMI then "[a]ttached them to the invoices or put them in the freight container folder" so as "[t]o confirm the quantity, the weight, the count, the entry, the cost of customs and

²⁷ Vega Deposition at 165-66.

²⁸ *Id.* at 196-97.

²⁹ *Id.* at 105.

³⁰ *Id.*

³¹ Vega Deposition at 186-87.

duties ...”³² Significantly, it did not “use them to receive cargo,”³³ and “did not use any bill of lading for purposes of confirming proper delivery to a transportation service provider.”³⁴

RESPONSE: DENIED. As noted above, SBA’s bills of lading were functional in that they acted as receipt for cargo, documented transportation of CMI’s cargo and were evidence of a contract of carriage. Vega Dep. at 167:9-15, 168:21-169:5. Further, as indicated in SBA’s terms and conditions an air waybill is a bill of lading. See SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state “[w]aybills” means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added).”

21) Rather, it retained them only for its “internal accounting purposes” and for “backup.”³⁵ CMI made only “internal” use of the documents, i.e. “[j]ust to confirm our purchase order, quantity, amounts.”³⁶ CMI did not “ever use those airway bills as evidence of contracts of carriage and evidence that SBA was acting as an NVOCC in assuming responsibility for transportation at issue.”³⁷ Thus, the “air waybill” forms were not the second of “two sets of invoices to CMI”; rather, they were form documents containing data CMI requested for various accounting purposes in coordination with SBA’s invoicing.

RESPONSE: DENIED. Mischaracterizes testimony, when Ms. Vega was asked by Mr. Block if she “believe that SBA sent you these bills of lading to reflect an

³² *Id.* at 109-10.

³³ *Id.* at 110.

³⁴ *Id.* at 110-11.

³⁵ *Id.* at 165-66.

³⁶ *Id.* at 167.

³⁷ *Id.* at 170.

evidence contract of carriage” Ms. Vega stated “yes, they were delivering our product.” *See* Vega deposition at 168:21-169:5; *see also* Vega deposition at 169:7-21.

22) Maria Vega, CMI’s 20(b)(6) Designee, “knew all along, there was no air transportation for any of this, despite the word ‘air’ appearing on documents...”³⁸

RESPONSE: ADMITTED. To the extent that SBA issued invoices to CMI, which contained charges for Air Freight even though virtually all of the transportation at issue moved by ocean. CMI SoF ¶ 71; *See* sample invoices attached as Exhibit A-9; *see also* Exh. A-10.

23) As SBA operates primarily as an indirect air carrier, its operational and accounting software programs are designed to generate air transport documentation. SBA did not “issue” the four documents labeled “air waybill” as functional bills of lading in the transportation process. With the passage of time, Radiant Global Logistics’ acquisition of SBA, attrition of personnel, and change of computer systems, why SBA generated and sent CMI those documents is unclear. SBA surmises that one of its accounting clerks sent CMI the documents in response to a request for backup documentation.³⁹

RESPONSE: DENIED. SBA is a full-service logistics provider that provides both air and ocean services. CMI SoF ¶ 6 Tincher Dep. at 18:10-12; 18:19-22, Exh. B. SBA’s own employee Bryan Tincher agrees that an air waybill is a bill of lading. Tincher Dep. at 76:20-77:9; *see also* Tincher Dep. at 79:8-9 (“This is the only bill of lading that our system will create.”) In addition, SBA’s applicable terms and conditions define

³⁸ *Id.* at 195.

³⁹ Zasada Declaration.

airway bills as bills of lading. See SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state “[w]aybills” means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added).” Finally, SBA’s surmising that a “clerk sent CMI the documents in response to a request for backup documentation” is wholly implausible and not sufficient to constitute a basis for a finding of fact for each of the bills of lading at issue.

24) CMI itself does not find this surprising,⁴⁰ and understood that “[t]his is their [SBA’s] way of communicating their information on an airway bill. That’s all I knew, even though I knew it was ocean freight and ... no one ever got around to changing the lingo, the wording, the label, whatever.”⁴¹

RESPONSE: DENIED. Confusing and unclear as to what SBA is referring to as not being surprising for CMI.

25) CMI viewed the “air waybills” as “invoicing” documentation as opposed to functional bills of lading to be used in the transportation process. CMI “never thought that [SBA was] trying to deceive [it] by ...transporting cargo by air when it was really going by ocean,” and “never thought that ... SBA charged [it] for air transportation rates ... even though ocean freight, which is much less expensive, had been provided.”⁴²

RESPONSE: DENIED AS TO THE FIRST SENTENCE. Mischaracterizes testimony. Ms. Vega stated that she believed that it was SBA’s way of communicating the shipping information. Ms. Vega does not state in her testimony

⁴⁰ Vega Deposition at 172-73.

⁴¹ *Id.* at 175.

⁴² *Id.*

that she viewed the air waybills as invoicing documentation. Vega Dep. at 175:1-23. Moreover, as noted above, CMI used the air waybills as evidence of receipt of the cargo and as a contract of carriage. Vega Dep. at 167:9-15, 168:21-169:5.

ADMITTED AS TO THE SECOND SENTENCE.

26) CMI did not review the bill of lading numbers stated on the CBP Forms 7501 to determine whether the numbers stated on the “air waybill” forms appear on any one of them.⁴³ No CBP Form 7501 CMI produced states any of the “air waybill” numbers of the SBA “air waybill” forms CMI relies on.

RESPONSE: ADMITTED.

27) The CBP Forms 3461 SBA Consolidators filed for each entry specify the SCAC codes of ocean carriers which issued house or master bills of lading.⁴⁴ The CBP Forms 3461 specify the Chinese NVOCCs’ house bill of lading numbers in Box 21 after the letter “H.” Had SBA issued a house bill for any of the subject transports, its SCAC code “SVBA” would appear before the bill of lading number appearing after letter “H” on the shipment’s corresponding CBP Form 3461. None do, and none of the designated house bill numbers conform to numbers stated on the “air waybills” CMI submits.

RESPONSE: DENIED. The fact that SBA’s affiliate, SBA Consolidators failed to include the CBP form does not prove that the bills of lading issued by SBA were non-existent. See Exh. A-4.

28) The two sets of CBP forms demonstrate that SBA issued no functional bill of lading documentation – air waybill or otherwise – that documented transportation of any of CMI’s cargo.

⁴³ Vega Deposition at 188.

⁴⁴ Copies attached as Exhibit 2 to the Zasada Declaration.

CMI could demonstrate NVOCC activity by bills of lading issued to its Chinese suppliers, i.e., the shippers of the cargo for which demurrage charges accrued. CMI never asked its Chinese suppliers for copies of bills of lading documenting the subject shipments.⁴⁵

RESPONSE: DENIED. SBA's bills of lading were functional in that they acted as receipt for cargo, documented transportation of CMI's cargo and were evidence of a contract of carriage. Vega Dep. at 167:9-15, 168:21-169:5. CMI contends that SBA issued air waybills, which per SBA's own terms and conditions are bills of lading. See Exh. 1 (airway bill examples); See SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state "[w]aybills" means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added); see also Tincher Dep. at 79:8-9 ("This is the only bill lading that our system will create.").

29) The "air waybill" forms CMI presents facially are not functional as ocean bills of lading for the following reasons:

- 1) They were never tendered to any shipper,⁴⁶ and the record does not suggest otherwise.
- 2) They are not signed by a shipper, the preprinted phrase "SERVICE BY AIR, INC." appearing in the shipper's signature blocks.
- 3) All but a few of the "air waybill" forms are marked at the bottom "COPY 8 (FOR AGENT)," which designates it to be a copy that SBA would retain for its own records had the document been used in transportation. Had the "air waybill" forms been used in transportation, CMI's copy would have been marked "ORIGINAL 2 (FOR CONSIGNEE)."⁴⁷

⁴⁵ Vega Deposition at 111 and 117.

⁴⁶ Zasada Declaration.

⁴⁷ *Id.*.

RESPONSE: DENIED. A legitimate bill of lading does not need to be (1) tendered to the shipper; (2) signed by the shipper; and (3) need to be marked in any particular way as copies of the original. *See also* SBA Terms and Conditions at page 2, attached as Supplemental Exh. 1, which state “[w]aybills” means a non-Negotiable Waybill, *Bill of lading*, Delivery Receipt or similar shipping document used to identify shipments *tendered to SBA for transportation* (emphasis added).”

30) SBA was not a shipper of record in its relationship with any ocean carrier. None of the bills of lading issued by LAS Freight or the other Chinese NVOCCs names SBA as a shipper of record. CMI made no effort to obtain copies of bills of lading from its Chinese suppliers.⁴⁸ It would be an easy matter to demonstrate SBA’s purported shipper relationship with carriers through such documentation.

RESPONSE: DENIED. *See* response to 28.

31) SBA did not send CMI a “tariff,” or represent to CMI that it is has a “tariff,” NRA or any other such documentation which only NVOCCs would have.⁴⁹

RESPONSE: DENIED. SBA provided CMI with what it purported was SBA’s tariff so that CMI could draw a comparison between SBA and UTI’s services and respective tariff provisions. CMI SoF ¶ 12; Tincher Dep. at 58:13-59:1.

32) SBA did not inform SBA that it could provide the same type of service that UTI, an NVOCC, previously had been providing to CMI ...⁵⁰

RESPONSE: DENIED. Mischaracterizes testimony. In Mr. Tincher’s deposition he stated that he did not “know what exact services they were doing” but confirmed

⁴⁸ Vega Deposition at 111 and 117.

⁴⁹ Jalowiecki Declaration.

⁵⁰ *Id.* and Transcript of Deposition of Bryan Tincher at 66-67.

that SBA represented to CMI that it would be providing the same type of service as UTI. See Deposition of Bryan Tincher 67:8-18.

33) SBA never asserted a lien of any kind; the record does not suggest it did; and SBA would not have been in any position to do so, as it was never in possession of the subject cargo.⁵¹

RESPONSE: DENIED. SBA refused to release cargo until it received payment for unrelated shipments, thereby, asserting a lien. See SBA Admission to CMI SoF 140. While disputing the exact number of containers it held hostage and the exact amount of ransom that CMI had to pay for their release,⁵² SBA further admits that it demanded payment on what it called demurrage that had accrued on other containers that SBA was billing at a rate of \$300 per day (which is far in excess of what any valid tariff would have allowed). SBA Admission to CMI SoF 142. Finally, SBA admits that CMI had to pay SBA \$178,962.74 to purchase the release of some of its 15 containers *so that CMI could continue to operate*. SBA Admission to CMI SoF 143 (emphasis supplied).

34) SBA did not conceal the identity of any actual carrier. CMI concedes it received from SBA,⁵³ and produced in discovery,⁵⁴ copies of bills of lading issued by the Chinese NVOCCs. Thus, it obviously knew their identities, including the primary NVOCC, LAS Freight.

RESPONSE: DENIED. In deposition testimony SBA stated that CMI was an unsophisticated customer and it did not want to “confuse” CMI by telling it that other NVOCCs were actually transporting cargo and wanted to keep things

⁵¹ Zasada Declaration.

⁵² SBA failed to cite any evidence refuting that it was 15 containers that it refused to release until CMI was paid \$267,000. See SBA response to CMI SoF 142.

⁵³ Vega Deposition at 106-07.

⁵⁴ Copies attached to the Block Declaration.

“simple” for CMI. CMI SoF ¶ 139; Tincher Dep. at 154:19-22; Zasada Dep. at 25:18-26:9 (“People with the boats”) and 42:18-43:19. As a result, CMI only dealt with SBA and had no contact with any Chinese NVOCCs. See Vega Dep. at 48:20-50:10 (CMI never dealt with Las Freight).

35) No evidence suggests that SBA “held itself out” as an NVOCC to the public at large as an NVOCC or other carrier.

RESPONSE: DENIED. Based upon the purported SBA tariff it was provided by SBA and the SBA bills of lading SBA issued to CMI, CMI believed that SBA was taking responsibility for the transportation of CMI’s shipments, and in doing so, SBA was acting and holding itself out as a carrier. CMI SoF ¶ 47. Bryan Tincher also testified that SBA assumed responsibility for the goods to their ultimate destination. Tincher Dep. at 35:7-10.

36) During the shipment transactions at issue, CMI was “experiencing cash flow problems,” which prevented it from paying its suppliers.⁵⁵

RESPONSE: ADMITTED. CMI was “experiencing cash flow problems” in part due to SBA refusing to release containers and demanding payment for fraudulent demurrage charges even though there were no charges associated with that container. CMI SoF ¶ 140; Tincher Dep. at 112:1-113:3; Vega Dep. at 119:1-19.

37) Consequently, CMI did not always pay its Chinese suppliers in compliance with time frames the suppliers required.⁵⁶

⁵⁵ Vega Deposition at 119-20; 127; 133-34.

⁵⁶ *Id.* at 86-87.

RESPONSE: ADMITTED. CMI did not always timely pay its Chinese suppliers but does not understand what is meant by consequently.

38) This resulted in containers arriving in the U.S. which transportation service providers (such as Freight Tech) could not release to CMI because telex releases had not been issued. CMI was aware that “SBA could not properly release containers if the supplier had not been paid and issued a Telex release.”⁵⁷

RESPONSE: ADMITTED IN PART. In some instances, SBA did not release containers due to a telex release not being issued. Denied in that in other instances, SBA would not release containers in its possession until CMI paid what SBA incorrectly characterized as demurrage on other containers that SBA was billing at a rate of \$300 per day. *See* CMI SoF 141; Tincher Dep. 122:17-20; *see also* Tincher Dep. 121:1-4; Exh. B-1 (what SBA called demurrage charge was billed at \$100 a day by drayage company and was marked up by SBA to \$300 per day).

39) CMI was not confused by the term “demurrage.”⁵⁸

RESPONSE: DENIED. In deposition testimony Mr. Zasada stated, “many shippers, including CMI, specifically Maria, do not understand the transportation process and don’t understand the terms that we use on that.” Zasada Dep. at 25:11-22.

40) At various times between April 2014 and July 2015,⁵⁹ SBA notified CMI that its cargo had arrived, and was ready for onward delivery from Freight Tech’s yard pending SBA’s receipt of telex releases from the Chinese NVOCCs. SBA informed CMI numerous times that the

⁵⁷ *Id.* at 126-27.

⁵⁸ Vega Deposition at 92-93.

⁵⁹ Table attached as Exhibit 1 to the Verified Complaint.

“free days” Freight Tech allotted for storage had expired for specified containers, and that extensive demurrage charges were accruing.⁶⁰

RESPONSE: DENIED. Some of the charges that SBA was demanding be paid before it would release containers included charges arising out of instances when CMI was billed thousands of dollars for the supposed delayed return of containers to MSC, despite the fact that the containers had immediately been returned to MSC and no charges had accrued. *See, e.g.,* Ferreira Report, Folder 33, Exh. F (CMI assessed for 31 days of “demurrage” despite fact that MSC’s automated container tracking system reflects that the container at issue was gated out on February 23, 2015 and gated in three days later on February 26, 2015). CMI SoF ¶ 143.

41) When CMI had resolved its cash-flow issues, it agreed it owed, and fully paid, SBA the invoiced demurrage without complaint or objection.⁶¹

RESPONSE: DENIED. CMI issued payment in order to have the containers released and receive their cargo. Vega Dep. at 94:3-95-3 (“Because it felt, like, you know, SBA was putting a gun to CMI’s head and saying: Until you come due with our payments, we’re not releasing your product or your container.”). Further, the evidence shows that SBA did not have a basis for the demurrage charges it assessed against CMI. CMI SoF ¶ 84-90.

42) When CMI’s inability to pay its Chinese suppliers began to generate a chronic demurrage issue, Vega advised SBA that she needed to budget future demurrage charges. In or about early 2015, Vega asked SBA’s regional manager, Ed Zasada, to calculate a fixed per diem

⁶⁰ Zasada Declaration.

⁶¹ *Id.*

demurrage rate per container that SBA would charge without deviation. This would enable her to budget payments for future shipments accurately when CMI's cash flow issues prevented retrieval of arrived containers. Over Zasada's advice against it, Vega insisted in January or February 2015 that SBA provide CMI a fixed rate that SBA would "stick to," and "to make sure you cover yourself." After computing average demurrage costs based on historical data, SBA proposed, and CMI accepted, a demurrage rate of \$300/container/day.⁶²

RESPONSE: DENIED. CMI asked SBA to provide it with estimates of what demurrage charges were accruing because SBA often issued conflicting invoices reflecting exorbitant amounts for demurrage with no back up documentation. CMI SoF ¶ 124-125; see Vega Dep. at 145:14-23, 146:4-6. Further, SBA cannot charge for demurrage that is not reflected in a tariff. CMI SoF ¶¶ 22, 95. Further, documents show that CMI asked SBA what the daily rate for demurrage was, not that CMI agreed to that rate. See Supplemental Exh. 5.

43) CMI threatened SBA that it would file bankruptcy if SBA did not secure the release of its cargo without full payment of outstanding demurrage charges, and this prompted SBA to retain the final six CMI containers pending payment of the outstanding demurrage.⁶³

RESPONSE: ADMITTED IN PART. See Exh. A-16 (SBA informed CMI that it refused to release 15 containers in its possession until CMI paid SBA \$264,600.56).

44) CMI ultimately paid the remaining demurrage balance without protest and retrieved its final six containers.⁶⁴

⁶² *Id.* and Vega Deposition at 146 and 153.

⁶³ Vega Deposition at 140-42.

⁶⁴ Zasada Declaration.

RESPONSE: ADMITTED. To the extent that CMI paid the remaining demurrage balance. Denied that CMI paid without protest. *See* response 41.

45) The demurrage SBA collected from CMI exceeded payments SBA made to Freight Tech by approximately 20%. This margin is appropriate under industry standards to account for SBA's administrative efforts and the risk that CMI would not pay SBA demurrage charges SBA had paid Freight Tech.⁶⁵

RESPONSE: DENIED. SBA grossly inflated cost well over 20% for several shipments. CMI SoF ¶¶ 105, 107. Moreover, CMI provided specific evidence of SBA's excessive markup for several shipments. CMI SoF ¶ 130; *see, e.g.* Exh. F-1, Folder 33 (31 days X \$309.67 = \$9,600).

46) CMI has abandoned its claims against respondent SBA Consolidators, Inc. by not addressing it in CMI's briefing.

RESPONSE: ADMITTED.

Dated: June 15, 2018

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⁶⁵ *Id.*

CERTIFICATE OF SERVICE

I do hereby certify that a true and correct copy of the foregoing document was delivered to the following addressee at the address stated by electronic transmission, this 15th day of June 2018:

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